administration was far from being neutral. Its partisanship and active support for the British company and its hostile suppression of the Swadeshi company would bring matters to a head in March 1908 as we shall see later (Chapter 6).

Even as the administration was trying to ease tension, within a month, in the early days of June 1907, apart from incentivizing the touts, BI was also paying its passengers four annas as a gift.[127]

The evidence of Varaprasadam Pillai, head clerk at Madura and Company, the Tuticorin Agents of BI, in the Tuticorin vakils's security case in March 1908, reads like a confession statement of the chicanery and skulduggery adopted by BI.[128] BI, stated the witness under oath, was making a good profit on the Tuticorin–Colombo line; but after the Swadeshi company entered the fray, it was 'spending more on its steamers and getting less traffic'. Over the two years of the competition with the Swadeshi company BI had cut their rates. Despite this, the number of merchants shipping by BI was 'gradually going down'. The various methods adopted by BI to counter this could be summarized as follows: while SSNCo charged the full rates that prevailed when BI was the sole service provider, BI was not only charging half rates, but was tempting the merchants with further concessions. While SSNCo charged the prevailing rate of three annas per bag of rice, BI charged less than one anna. Passenger rates were Re 1 for the Swadeshi steamer while a BI ticket cost only three-fourths of it, i.e. 12 annas. Other concessions too were being offered: one cattle-shipper had even been advanced a loan of Rs 5,000. Varaprasadam Pillai also confessed to personally influencing merchants to give up the Swadeshi company. As *The Hindu* remarked, 'His evidence laid bare all the methods adopted by the Madura and Company to cripple the infant Swadeshi enterprise.'[129]

SSNCo conceded that it too 'had to adopt reduced rates also to some extent, though in the matter of cargo our rates have been about twice and three times as much as their reduced rates'.[130] SSNCo described the logic of the rate war in a later public appeal: